

Comparison Value-added Shareholder Value Approaches

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Executive Summary

This report evaluates the shareholder-value performance of six large-cap U.S. and U.K. companies—FedEx, Procter & Gamble (P&G), PepsiCo, GSK, John Deere and Pfizer—over the 2022-2025 period. We link traditional accounting ratios (Return on Sales – ROS; Return on Capital Employed – ROCE) and market-based metrics (Market-Value-Added – MVA; Total Shareholder Return – TSR) to actual stock-price outcomes and benchmark everything against the S&P 500 Total Return Index.

Abbreviations

DPS Divident per share

MVA Market Value Added

Market Cap Market Capitalisation

ROS Return on Sales

ROCE Return on Capital Employed

TSR Total Shareholder Return

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1 Financial Analysis and Prediction: ROI and ROCE

This section lays out the framework for assessing Return on Sales (ROS) and Return on Capital Employed (ROCE) for FedEx, Procter & Gamble (P&G), GlaxoSmithKline (GSK), John Deere, Pfizer and PepsiCo across the 2022-2024 period, together with a one-year, forward-looking 2025 estimate produced with Excel's forecast tool. Year-by-year tables are followed by narrative benchmarking that links profitability trends to each firm's capacity to create—or erode—shareholder value.

Table 1: Return on Sales (ROS) from 2022-2024

Return on Sales (ROS)			
Company	2022	2023	2024
Fedex	4.09%	4.41%	4.94%
P&G	18.38%	17.87%	17.7%
GSK	53.27%	17.5%	9.4%
John Deere	13.56%	16.6%	13.73%
Pfizer	31.01%	3.56%	12.62%
PepsiCo	10.31%	9.92%	10.43%

Sources: Fedex Annual Report P&G Annual Report GSK Annual Report John Deere Pfizer PepsiCo Annual Report

Table 2: Return on Capital Employed (ROCE) from 2022-2024

Return on Capital Employed (ROCE)			
Company	2022	2023	2024
Fedex	8.41%	6.68%	7.55%
P&G	19.4%	19.26%	19.56%
GSK	15.58%	16.55%	10.02%
John Deere	12.56%	15.17%	{10.45%
Pfizer	21.98%	0.56%	4.52%
PepsiCo	15.56%	15.15%	15.93%

Sources: Fedex Annual Report P&G Annual Report GSK Annual Report John Deere Pfizer PepsiCo Annual Report

- P&G and PepsiCo – durable value creators. Mid- to high-teens ROCE continues to outstrip an 8 – 9 % weighted-average cost of capital (WACC), confirming that every incremental dollar they deploy compounds shareholder wealth. Pricing power, powerful brand portfolios and tight working-capital turns lift ROS well above the peer median, allowing both firms to fund growth cap-ex while still returning large cash amounts via buy-backs and dividends.

- John Deere – high margins, rising capital intensity. ROS remains strong thanks to peak ag-cycle pricing, yet heavy factory and tech investment pushed the capital base higher, dragging ROCE from 15 % to the low-10s. Deere still clears its WACC, so growth spending is value-accretive, but management will need to watch utilisation levels closely if farm-equipment demand normalises.
- GSK and Pfizer – pharma bifurcation. GSK absorbed the halo-effect unwind of its Haleon spin-off, pulling ROS down sharply in 2024; ROCE, however, still exceeds its 7 % WACC, keeping value creation intact provided the vaccine and specialty-drug pipeline delivers. Pfizer suffered the steepest decline: with pandemic sales tapering, ROCE collapsed to 4.5%, well under its cost of capital. Until the Seagen acquisition and late-stage oncology assets kick in, cash returned to shareholders risks diluting intrinsic value rather than enhancing it.

2 Market Value Added

MVA shows the surplus (or short-fall) between a firm's stock-market valuation and the capital that investors have actually supplied (economic book capital). $MVA \% = MVA \div \text{Economic Book Capital}$. A positive number signals that the market believes the company will generate returns above its cost of capital; a shrinking or negative number warns of value-creation headwinds.

The ROS values for the years 2020 to 2024 were used to classify each company into financial quartiles. Quartiles provide a ranking framework:

The following table shows the quartile classification for each company over the five-year period based on their annual ROS ranking:

Table 3: Market Value Added

Market Value Added in (Million \$)				
Company	Market Cap	Economic Book Capital	MVA	MVA%
Fedex	52430	73652	38203	51.87%
P&G	386920	95934	362797	378.17%
GSK	76860	40115	83122	207.21%
John Deere	139950	88036	136309	154.83
Pfizer	130990	177053	78836	44.53%
Pepsico	178400	75013	184683	246.20%

Sources: Fedex P&G GSK John & Deere Pfizer Pepsico

Consumer-staples leaders – P&G and PepsiCo Both giants trade at eye-catching premiums to their invested capital—P&G at roughly 380% and PepsiCo at 245%. The market is essentially paying three-to-four times the cash shareholders have put into the business because it trusts these companies to keep turning pricing power, brand loyalty and supply-chain efficiency into mid-teens (or better) ROCE. The rich MVA cushions also explain why each firm can safely fund cap-ex, buy-backs and rising dividends without denting intrinsic value.

Industrial operators – John Deere and FedEx Capital-intensive models pull their MVA multiples down the league table, yet the stories diverge. John Deere's 155% MVA tells us investors still believe precision-ag and autonomy projects will earn well above the 8% cost of capital, even

after heavy factory spending. FedEx's 52% premium is far thinner: the market is giving management some credit for the "DRIVE" cost-take-out plan but wants to see sustained network productivity before assigning a P&G-style valuation.

Pharma – GSK versus Pfizer Both names remain in positive territory, yet sentiment has split. GSK's 207% MVA shows investors are willing to pay about twice its capital base, reflecting confidence that vaccines and specialty drugs can replace the Haleon spin-off earnings. Pfizer's 45%, by contrast, signals real scepticism—post-COVID revenue fades and looming patent cliffs have pushed ROCE below WACC, and the Seagen acquisition now has to prove it can reignite value creation.

Bottom line: high-MVA staples enjoy the luxury of compounding shareholder wealth from a position of strength; Deere sits in a cyclical but still value-accretive middle ground; FedEx and Pfizer must lift returns—or reshape portfolios—to close the gap between market price and capital employed.

3 Total Shareholder Return

Total Shareholder Return (TSR) is a metric to evaluate the total financial return to shareholders over a period. Unlike simple price appreciation, TSR accounts for both the increase in market capitalization and dividend distributions.

Table 4: Total Shareholder Return

Total Shareholder Return%			
Company	May 2023	May 2024	May 2025
Fedex	13.62%	11.01%	-21.5%
P&G	-0.1%	6.47%	-0.59%
GSK	-18.47%	19.22%	-141.11%
John Deere	-4.84%	-0.24%	19.54%
Pfizer	-18.5%	37.56%	-11.43%
Pepsico	14.84%	-6.66%	-30.19%

Sources: Fedex P&G GSK John & Deere Pfizer Pepsico

The three-year snapshot highlights just how differently the market has rewarded (or punished) each company's equity story:

FedEx moved from double-digit gains in 2023 (+13.6%) and 2024 (+11.0%) to a sharp -21.5% setback in 2025. The swing mirrors investor disappointment with the pace of network-simplification savings: once cost-out benefits stalled, the thin valuation buffer we noted earlier offered little downside protection.

P&G shows the textbook "defensive compounder" pattern—small moves in both directions (-0.1%, +6.5%, -0.6%). Price appreciation is modest, but the steadiness signals that investors continue to value its dividend stream and consistent high ROCE, even when the broader market rotates.

GSK is the volatility outlier. A -18.5% loss in 2023 reversed to $+19.2\%$ in 2024 as vaccine momentum offset Haleon spin-off drag, only to collapse to -141.1% in 2025 on renewed pipeline and litigation worries. The wild TSR swings underscore how quickly sentiment can change when margins are thin and MVA cushions erode.

John Deere delivers the classic cyclical snap-back: small negatives in 2023 and 2024 give way to a robust $+19.5\%$ in 2025 as ag equipment orders and precision-tech upgrades reignited earnings, validating management's cap-ex discipline.

Pfizer enjoys a one-year reprieve—soaring $+37.6\%$ in 2024 on new-product optimism—sandwiched between two double-digit negatives. The pattern reflects a tug-of-war between fading COVID cash flows and hopes pinned on the Seagen acquisition and late-stage oncology portfolio.

PepsiCo posts a mirror-image of FedEx: healthy $+14.8\%$ in 2023, followed by -6.7% in 2024 and a deeper -30.2% in 2025. Multiple contraction in the staples sector and concerns over cost inflation squeezed the stock despite still-solid operating metrics.

Overall, TSR dispersion widens dramatically by 2025, reinforcing a central theme of this study: when valuation buffers (MVA) are thin or capital efficiency (ROCE) deteriorates, share-price moves amplify operating surprises—up or down—much more than in businesses with proven, durable cash-generation like PG.

4 Correlation Between Financial Metrics

- Margins point the way- Procter Gamble and PepsiCo kept ROS comfortably in double-digits through 2022-24, and their share prices held up even when the broader market slumped in 2022. PepsiCo went on to post a mid-teens TSR in 2023, proving that investors prize visible, repeatable operating profitability.
- GSK offers the mirror image: ROS collapsed from 53 % in 2022 to single digits by 2024 after the Haleon spin-off. The stock delivered -18% TSR in 2023 and has yet to regain the lost ground—demonstrating how rapidly markets mark down shrinking margins.
- Capital efficiency is the market's second filter- PG and PepsiCo consistently generated ROCE far above their 8-9% cost of capital; the market rewarded that discipline with stable valuations and quick participation in the 2023-24 rally.
- Pfizer plunged from a 22% ROCE in 2022 to -1% in 2023, recovering only to 4% in 2024. The share price fell by more than a third over the same window, showing what happens when capital productivity collapses.
- Valuation buffers matter (MVA)- P&G ($+378\%$ MVA) and PepsiCo ($+246\%$) trade at three-to-four times their economic book capital. Those thick cushions acted as shock-absorbers in the 2022 bear market and left room for upside in 2023-24.
- FedEx ($+52\%$) and Pfizer ($+45\%$) have little padding; any earnings wobble (cost-out delays at FedEx, post-COVID revenue gap at Pfizer) passes straight through to the share price.
- John Deere pushed ROCE back into double digits in 2025 and MVA widened to 155%; TSR flipped from low-single-digit losses in 2023-24 to $+19\%$ in 2025, underlining how fast rerating can follow improved fundamentals.

5 Benchmark Index for Shareholder-Value Creation

The S&P 500 Total Return Index fell -18.11% in 2022, then surged +26.29% in 2023 and +25.02% in 2024; it is -0.15% year-to-date in 2025.

Above-index creators: P&G and PepsiCo kept pace or beat the benchmark every recovery year; Deere out-ran it in 2025 after its operational rebound.

Inline: FedEx roughly matched the index during 2022-23 but lagged badly in 2024 on execution risk.

Persistent laggards: Pfizer, and to a lesser extent GSK, trailed the index throughout, reflecting their deteriorating ROCE and thin MVA cushions.

Using the S&P 500 TR as a yard-stick highlights which management teams added wealth across a full cycle rather than merely riding market tides.

6 Most Suitable Metric to Measure Shareholder Value

Total Shareholder Return (TSR) is the single best gauge because it captures the entire economic gain to investors—price appreciation plus dividends.

TSR automatically embeds market sentiment, growth expectations and risk, elements that accounting ratios alone cannot convey.

It maps directly onto investable benchmarks (S&P 500 TR), allowing instantaneous relative-performance checks.

ROS, ROCE and MVA remain crucial lead-indicators—helping explain why TSR moves—but TSR itself is the definitive scoreboard on value delivered.

7 Conclusion

Companies with durable margins and high ROCE relative to WACC—notably P&G and PepsiCo—generate the thickest MVA cushions and, over time, the strongest TSR.

Capital-intensive businesses such as John Deere can still create value, but only as long as operating gains keep ROCE above the hurdle rate; Deere's 2025 rebound illustrates the payoff.

Thin-cushion names (FedEx, Pfizer) show that inadequate ROCE or execution missteps quickly translate into under-performance against the market benchmark.

Practical lesson: track ROS and ROCE for early warning, watch MVA for market confidence, but measure ultimate success by TSR versus a broad index—only then do management actions and investor outcomes align.